

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

WCG GROUP, LLC DBA AITOH CO., *Claimant*

v.

CHRIS PHILLIPS AND PAUL KNOTT, *Respondents*.

DOCKET NO. 1999(F)

Served: November 26, 2024

ORDER OF: Linda S. Harris Crovella, *Administrative Law Judge*.

INITIAL DECISION¹

I. Introduction

A. Summary

Claimant WCG Group, LLC d/b/a Aitoh Co. (“Aitoh”), who is *pro se*, initiated this proceeding on November 28, 2023, by filing an informal complaint against two individuals: Chris Phillips, alleged to be the owner of InXpress NY, who is also *pro se*; and Paul Knott, alleged to be the CEO of InXpress Americas. The complaint alleges that InXpress NY was involved in shipping paper products that Aitoh was importing from India, and that the container in which its goods were carried was lost by the ocean carrier during a storm. Aitoh filed the instant claim because it was unable to get information regarding the status of its insurance claim, and it alleges violations of §§ 41102(c), 41104(a)(4)(E), 41104(a)(12), 41103(b)(2), and 41108(c) of the Shipping Act. Complaint at 2.

As discussed further below, Respondents are not common carriers, marine terminal operators, or ocean transportation intermediaries, which is required for the Shipping Act violations alleged by Aitoh. In addition, Aitoh offers no basis to pierce the corporate veil to find Respondents Phillips and Knott personally liable for the alleged violations. Aitoh’s claims are therefore dismissed and its request for reparations is denied.

B. Procedural History

Aitoh initiated this proceeding on November 28, 2023, by filing an informal complaint against two individual Respondents, Chris Phillips and Paul Knott. On December 26, 2023, Respondent Knott filed an answer denying the allegations of the complaint and alleging various

¹ This initial decision will become final unless either party or the Commission requests review of the decision. A party’s request for review must be filed within 22 days of the date of the decision and meet the other requirements of Rule 318. 46 C.F.R. § 502.318(a).

affirmative defenses, as well as a motion to dismiss the complaint and a memorandum in support of the motion to dismiss (“MTD”). Respondent Knott also filed an affidavit of non-consent to the informal adjudication of the claim in accordance with Subpart S 46 C.F.R. § 502.301. On February 7, 2024, the claim was reassigned to the undersigned Administrative Law Judge for adjudication under the procedures at 46 C.F.R. Subpart T. 46 C.F.R. § 502.311.

Respondent Phillips has received and responded to several electronic communications from the Secretary’s Office and from the Judges’ Office. While none of his email submissions were formally titled as an answer to the Complaint, as he is a *pro se* respondent, it is reasonable to deem his February 28, 2024, email as an Answer to the Complaint, denying all allegations. Knott Bates Nos. 24-42.

On February 21, 2024, an Order on Request to Extend Time to Respond to Motion to Dismiss (“Order on EOT”) issued, granting Aitoh’s February 16, 2024 request for additional time in which to respond to the MTD. This order also specifically allowed Aitoh to file an amended complaint adding as respondents the corporations for which the two natural persons identified as respondents work; and if Aitoh chose not to file an amended complaint, directing Aitoh to address the arguments raised in the MTD. Order on EOT at 2. Specifically, Aitoh was instructed that:

Claimant’s response should address whether it intends to seek reparations from the two individuals currently identified as the Respondents in this proceeding, or whether it seeks to add the corporations for which these individuals work. If Claimant wishes to add the corporations, it must send an amended complaint to the Secretary at OSMaritime@FMC.gov for service on the new respondent(s). Claimant may not change or add anything to the amended complaint beyond adding the additional respondent(s).

If Claimant does not submit an amended complaint naming additional respondents, it must respond to the Motion to Dismiss by addressing the arguments raised therein. Specifically, Claimant must address whether it intends to submit evidence that it can pierce the corporate veil as to Respondent Knott and should submit that evidence. Similar evidence should be submitted regarding Respondent Phillips, as well.

Order on EOT at 2. Shortly after the order was issued, Aitoh filed its opposition to the motion to dismiss (“MTD Opposition”). The MTD Opposition did not address piercing the corporate veil as to the two natural persons currently named as respondents. Claimant did not file an amended complaint naming or substituting as respondents the corporations for whom Respondent Knott and Respondent Phillips work.

On February 23, 2024, Respondent Knott emailed a request to file a reply to Aitoh’s opposition to the motion to dismiss. This request was denied by a February 29, 2024 Order on Request to Reply to Claimant’s Opposition to Motion to Dismiss.

Pursuant to Commission Rule 502.314, which authorizes the administrative law judge in a Subpart T proceeding to “require the submission of additional affidavits, documents, or

memoranda from complainant or respondent,” the parties were ordered to provide additional documents and information on May 17, 2024. Order to Provide Additional Documents and Information (“Order to Supplement”). No response was received from Respondent Phillips. Aitoh filed its response on June 14, 2024 (“Aitoh Supp.”) including documents labeled as Exhs. 1-22. Respondent Knott also filed his response on June 14, 2024 (“Knott Supp.”) including documents bates numbered Knott 1-48. Respondent Knott then replied to Aitoh’s response on June 28, 2024 (“Knott Opposition”). Aitoh replied to Respondent Knott’s response on June 28, 2024 (“Aitoh Opposition”), as well.

In general, motion practice is not permitted under Subpart T. *Compare, e.g.*, 46 C.F.R. § 502.46 with 46 C.F.R. §§ 502.311-321. Therefore, the parties’ motion to dismiss filings will be converted to and considered as briefing for this initial decision. Combined with the additional supplementary materials provided by the parties, the record is now complete, and Aitoh’s claims may be evaluated.

C. Parties’ Arguments

Aitoh asserts that “[b]oth Chris Phillips and Paul Knott . . . did not reply to reasonable and legit [sic] inquiries about the claim that was filed as per agreement by InXpress NY on Aitoh[’s] behalf. The reticence in the disclosure of information leads us to allege that there were violations of the Shipping Act;” “the parties involved in the shipment (InXpress NY, Ex-Freight, Foreign Container Line, and Ocean Network Express), could have agreed to intentionally ignore or unjustly settle the claim with the insurance for reasons we do not know but we can reasonably suspect was prohibited under the Shipping Act[;]” and the “lack of information itself provided by InXpress Americas, InXpress NY, Ex-Freight and Ocean Network Express and their unreasonable refus[al] to provide any update on the status of the claim, is per se a violation of the Shipping Act[.]” Complaint at 1-3. Aitoh also asserts that “Chris Phillips, acting as an Ocean Transportation Intermediary, concealed facts and information needed for us to take action and directly contact the carrier” and that Respondents Knott and Phillips “together, acting as Ocean Freight Intermediary, are in violation of the Shipping Act under Section 41102(c), 41104(A)(4)(E), 41104(a)(12), and 41103(b)(2).” MTD Opposition at 3, 5.

Respondent Knott contends that the complaint fails to state a claim for relief under Rule 12(b)(6) of the Federal Rules of Civil Procedure; the complaint should be dismissed for lack of subject matter jurisdiction; the complaint fails to join necessary parties; Claimant has admitted that neither Respondent Knott nor InXpress are carriers or ocean transportation intermediaries which is a necessary predicate under the Act; and Claimant is not entitled to double recovery. Knott Opposition at 2-5; MTD at 5-11. Respondent Phillips contends that InXpress sells services through an NVOCC and the NVOCC is responsible for decisions made regarding Aitoh’s claim. Knott Bates No. 24.

II. Findings of Fact (“FOF”)

1. Claimant WCG Group, LLC d/b/a Aitoh Co. (“Aitoh”) is a limited liability company formed in Texas and a wholesaler of art supplies imported from Asia. Complaint at 1-2.

2. Chris Phillips is an employee of InXpress NY. Knott 40; Aitoh Supp., Exh. 5; *see also* Aitoh Supp., Exh. 6 (listing as title in his email signature “Shipping & Freight Consultant” for InXpress Hudson Valley, New York).
3. Paul Knott is an employee of InXpress, LLC. Aitoh Supp., Exh. 5; *see also* MTD at 6; Knott Opposition at 1.
4. Neither Chris Phillips nor Paul Knott is a registered entity with the Federal Maritime Commission. Ocean Transportation Intermediary List, <https://www2.fmc.gov/oti/> (last accessed November 25, 2024).
5. Aitoh signed an Account Application and Payment Authorization with InXpress, dated April 17, 2020. Aitoh Supp., Exh. 1.
6. The terms and conditions in the InXpress account application and payment authorization signed by Aitoh provide in relevant part:

These terms and conditions apply to all services provided by InXpress. . . .

‘InXpress’ means InXpress Global, Ltd., any affiliate of InXpress, and any Master Franchise, Licensee or Franchisee of InXpress. . . .

By ordering services from InXpress You . . . understand that InXpress is not a transportation company. You will **not** receive transportation services directly from InXpress but will receive discounted billing from InXpress for shipping services provided by a Carrier or Carriers. . . .

You agree that InXpress acts solely as a Third Party “bill to” and bears no express or implied liability for Shipments. You agree that InXpress has not expressed or implied that InXpress is a Carrier, or represents a specific Carrier.

Aitoh Supp., Exh. 2 at pp. 2, 4 (emphasis in original).

7. There is no contract between Chris Phillips, in his individual capacity, and Aitoh.
8. There is no contract between Paul Knott, in his individual capacity, and Aitoh.
9. None of the shipping documents submitted by the parties list either Chris Phillips or Paul Knott. *See, e.g.*, Aitoh Supp., Exhs. 3-4, 8-10; Knott Supp., Knott Bates Nos. 10-18.
10. In September 2020, Aitoh emailed chris.phillips@inxpress.com asking for help with a freight import from India, described as one to two pallets consisting of sheets of handmade paper. Aitoh Supp., Exh. 21.
11. Later in September 2020, Mr. Phillips, whose title was listed as “Shipping and Freight Consultant” for InXpress, replied with quote information. Aitoh Supp., Exh. 21 (“I ran a quote on 2 pallets 48 x 40 x 40 @ a total of 4000 #'s it is a total of 42 transit days via

ocean and the rate is \$1943.07 that is door to door with customs clearance. Any duty and tax would be owed. . . . if you get a better idea on size and weight we can get a more accurate quote.”).

12. The relevant shipment was intended to be transported from India to the United States, via ocean. Complaint at 2; Aitoh Supp., Exh. 21.
13. The parties refer to the relevant container as container number KCSU8889270. *See, e.g.*, Aitoh Supp., Exh. 11 (October 11, 2020, email from Forin Line, noting the “subject shipment is stuffed in container No: KCSU8889270”); Knott Supp., Knott Bates No. 40.
14. The parties also refer to HBL No. FCLMAA2021118 in connection with the relevant container. *See, e.g.*, Aitoh Supp., Exh. 15; Knott Supp., Knott Bates No. 18.
15. In December 2020, Aitoh learned that a vessel called ONE Apus had encountered a bad storm and lost a number of containers. Complaint, Ref. 1.b (Dec. 8, 2020, Ocean Network Express (“ONE”) Customer Advisory, pertaining to the ONE Apus 006E/W, indicating: “[W]e would like to inform you that ONE Apus is now confirmed to be safely berthed in the Port of Kobe after losing 1,816 containers overboard when it encountered severe weather on . . . November 30, 2020.”)
16. Aitoh was never directly told that its container had been lost on the ONE Apus, however, InXpress provided no alternate explanation and indicated after communications about the accident that the container had been lost. *See, e.g.*, Complaint, Ref. 2.c (On February 8, 2021, Chris Phillips emailed in response to Aitoh’s inquiry concerning the shipment from India, writing “Right now nothing new. Thy have the Pictures of the fright ?? not sure what they did. I an going to request either answer on what they are doing or file against them for a loose claim.”) (spelling as in original); Complaint, Ref. 2.d (In a March 1, 2021, email, Chris Phillips wrote to Aitoh: “I have another agent I deal with and he thinks the container is lost.”).
17. On March 8, 2021, Mr. Phillips wrote to Aitoh: “I talked with our us [sic] agent and have the attached claim form. We will claim a total loss, if you can [just] fill out the product info we will do the rest.” Aitoh Supp., Exh. 6.
18. Between March 2021 and January 2022 Aitoh exchanged emails with Mr. Phillips, but Aitoh received no definitive response from him regarding the outcome of any claim for loss. *See, e.g.*, Aitoh Supp., Exhs. 12, 19-20; Complaint, Ref. 2.b-2.d.
19. On February 10, 2023, Aitoh filed a claim for loss directly with Ex-Freight and indicated in the sending email: “You are receiving this email in reference to a claim for Cargo Total Loss HBL FCLMAA2021118. It could be possible that a similar or identical claim have been filed with ExFreight by InExpress [sic] on March 2021, but we have never been able to get any sort of update on the status of the claim itself.” Aitoh Supp., Exhs. 15, 17 (“This claim is relevant to total loss of the cargo that never arrived.”).

20. Aitoh's first contact with Paul Knott was not until April 2023, as Aitoh continued to seek information regarding compensation for the missing container. Knott Supp., Knott Bates No. 44 (emails from Aitoh, copying paul.knott@inxpress.com).
21. There is now some question whether the container at issue was in fact carried on the ONE Apus vessel. *See, e.g.*, Aitoh Supp., Exh. 11 (referencing container KCSU8889270, listed as carried by vessel X Press Jersey); Knott Supp., Knott Bates No. 29 ("As it seems we were told that this shipment was on ONE line ship and now being told it was on a different vessel we need an explanation of what exactly happened to the cargo."); *see also* Aitoh Opposition at 2-5.

III. Analysis

A. Applicable Law

A complainant alleging a violation of the Shipping Act must prove its allegations by a preponderance of the evidence; in other words, demonstrate that the allegations are more probable than not. *See, e.g., Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, Docket No. 15-04, 2021 WL 3732849, at *3-4 (FMC Aug. 18, 2021) (Order Affirming Initial Decision on Remand). When direct evidence is unavailable, inferences may be drawn from certain facts and circumstantial evidence may be sufficient so long as the fact finder does not rely on mere speculation. *Waterman S.S. Corp v. General Foundries, Inc.*, Docket No. 93-15, 26 S.R.R. 1173, 1180 (ALJ Dec. 9, 1993) adopted in relevant part, 1994 WL 279898, 26 S.R.R. 1424 (FMC June 13, 1994).

The sections alleged to be violated apply to the conduct of regulated entities, not individual persons. *See* 46 U.S.C. § 41102(c) ("A common carrier, marine terminal operator, or ocean transportation intermediary may not . . ."); 46 U.S.C. § 41104(a) ("A common carrier . . . shall not . . ."); 46 U.S.C. § 41103 ("A common carrier, marine terminal operator, or ocean freight forwarder . . . may not"); 46 U.S.C. § 41108(c) ("If the Commission finds . . . that a common carrier has failed to supply information ordered").

"The term 'ocean transportation intermediary' means an ocean freight forwarder or a non-vessel-operating common carrier." 46 U.S.C. § 40102(20). An "ocean freight forwarder" is a person that –

(A) in the United States, dispatches shipments from the United States via a common carrier and books or otherwise arranges space for those shipments on behalf of shippers; and

(B) processes the documentation or performs related activities incident to those shipments.

46 U.S.C. § 40102(19). A "common carrier" is a person that –

(i) holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation;

(ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and

(iii) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country

46 U.S.C. § 40102(7). A non-vessel-operating common carrier is a common carrier that –

(A) does not operate the vessels by which the ocean transportation is provided; and

(B) is a shipper in its relationship with an ocean common carrier.

46 U.S.C. § 40102(17). The term “shipper” means –

(A) a cargo owner;

(B) the person for whose account the ocean transportation of cargo is provided;

(C) the person to whom delivery is to be made;

(D) a shippers’ association; or

(E) a non-vessel-operating common carrier that accepts responsibility for payment of all charges applicable under the tariff or service contract.

46 U.S.C. § 40102(23).

The Shipping Act requires that a claim for reparations be filed within three years of the accrual of the claim. 46 U.S.C. § 41301(a). A claim filed outside of this window would not be eligible for reparations. 46 U.S.C. § 41301(a) (“If the complaint is filed within 3 years after the claim accrues, the complainant may seek reparations for an injury to the complainant caused by the violation.”).

B. Discussion

Aitoh does not allege or present evidence that Respondents Phillips and Knott are ocean common carriers or marine terminal operators. Aitoh does, however, allege Respondents are ocean transportation intermediaries (“OTIs”) in filings subsequent to its Complaint. MTD Opposition at 5; Aitoh Supp. at 1. While Aitoh’s allegations concerning Respondents’ alleged OTI status are confusing, it would seem Aitoh contends that Respondents are ocean freight forwarders. Aitoh first indicates: “Mr. Chris Phillips (InXpress NY), acting as an Ocean Transportation Intermediary between the carrier, the shipper (Bluecat Paper, an Indian Company) and the consignee (Aitoh), arranged the shipment from India to US via ocean and by means of the vessel ONE APUS 006E/W.” MTD Opposition at 2. Aitoh also alleges “Mr. Paul Knott and Mr. Chris Phillips together, acting as Ocean Freight Intermediary, are in violation of the Shipping Act under Section 41102(c), 41104(A)(4)(E), 41104(a)(12), and 41103(b)(2).” MTD Opposition at 5; *see also* Aitoh Supp. at 1 (Mr. Phillips “acting as an Ocean Transportation Intermediary between the carrier, the shipper (Bluecat Paper . . .) and the consignee (Aitoh), arranged the shipment from India to US via ocean by means of other parties.”).

Yet, elsewhere in filings, Aitoh identifies InXpress as the OTI/ocean freight forwarder. MTD Opposition at 3 (“Our humble understanding about roles and regulations in the field of transportation brings us to consider that InXpress NY acted as legit [sic] Ocean Transportation Intermediary/Ocean Freight Forwarder.”). Aitoh also acknowledges interacting with Respondents in their capacity as representatives of InXpress corporate entities. *See, e.g.*, Aitoh Supp. at 1 (“because all the communications were with Chris Phillips, we reasonably assumed that Chris Phillips was the authorized agent of InXpress.”); Aitoh Supp. at 1 (at “the time of the engagement, we didn’t know who Paul Knott was and only in 2023, in order to solve the issue, Aitoh contacted him as CEO of InXpress LLC.”). Indeed, no evidence presented by the parties supports that Respondent Phillips or Respondent Knott are OTIs, common carriers, or marine terminal operators, or conducted themselves as such.

In other ways as well, Aitoh’s own statements argue against the individual responsibility of Respondents. *See, e.g.*, Aitoh Supp at 3 (“the agreement for the transportation of our cargo was not with the Respondents Chris Phillips and Paul Knott but rather with InXpress NY”); Aitoh Supp. at 1 (“as per InXpress ‘Term and Conditions’ . . . InXpress NY was responsible for arranging the cargo movement, dispatching, booking, and communicating with third parties”); Aitoh Supp. at 2 (“Aitoh does not consider the Respondents personally liable for our losses, but, as agent/representative/owner/manager/officer of their respective companies, they were responsible for arranging the cargo movement, dispatching, booking, and communicating with third parties, including filing a claim with the carrier on our behalf.”) (emphasis in original).

The evidence establishes that Aitoh contracted with InXpress, not with either Respondent in their personal capacity. FOF 5-9. Moreover, Aitoh dealt with Respondent Phillips and Respondent Knott as representatives of InXpress corporate entities. FOF 2-4, 10-11, 16-18, 20. In addition, Aitoh did not have contact with Respondent Knott until 2023, two years after the ONE Apus’s accident. FOF 20.

In order to pierce the corporate veil and find that Respondents are personally liable for the actions of their respective enterprises, the evidence would have to demonstrate the necessity to do so, for example, proving among other factors that respondents exercised ownership and control of the relevant entity, failed to maintain corporate minutes or adequate corporate records or to follow corporate formalities, commingled business and personal funds and other assets, or diverted corporate funds for personal use. *See, e.g., Rose Int’l, Inc. v. Overseas Moving Network Int’l Ltd.*, 29 S.R.R. 119, 167-168, 2001 WL 865708, at *51, 83 (FMC 2001). None of these factors are shown in this case. Accordingly, there is no evidence to support piercing the corporate veil concerning either respondent.

Moreover, an ocean freight forwarder is a person that “dispatches shipments *from* the United States via a common carrier[.]” 46 U.S.C. § 40102(19) (emphasis added). While it would violate due process to make findings about the role of any entity not named as a respondent in the claim and which has not had the opportunity to defend itself, this element is not met by Respondents or any other entity in the present case, because the relevant shipment was dispatched from India and was meant to be transported to the United States. FOF 12. Similarly, the evidence fails to establish that Respondents are non-vessel-operating common carriers. Neither Respondent is found to be a shipper in relation to a common carrier. FOF 9. Accordingly, neither Respondent is a non-vessel-operating common carrier as defined in 46

U.S.C. § 40102(17), or an ocean transportation intermediary as defined in 46 U.S.C. § 40102(20).

Taking into consideration the arguments of the parties and the facts particular to this case, Aitoh has not established that Respondent Phillips or Respondent Knott are ocean transportation intermediaries, or any other entity corresponding to the Shipping Act violations alleged. Moreover, Aitoh has not provided evidence to pierce the corporate veil and confer personal liability. Accordingly, the claims against both Respondents are dismissed.

IV. Order

Upon consideration of the evidence of record, arguments of the parties, and for the reasons set forth above, it is hereby

ORDERED that the complaint against Chris Phillips be **DISMISSED WITH PREJUDICE**. It is

FURTHER ORDERED that the complaint against Paul Knott be **DISMISSED WITH PREJUDICE**. It is

FURTHER ORDERED that any other pending motions or requests be **DISMISSED AS MOOT**. It is

FURTHER ORDERED that this proceeding be **DISCONTINUED**.



Linda S. Harris Crovella
Administrative Law Judge